

EMD-NEDUET
EC-101
MICROECONOMICS ASSIGNMENT

Question 1

The following table describes the market for coffee.

Situation	Price of Coffee	Consumer Income	Price of Tea	Quantity Demanded
A	Rs. 500	Rs. 60,000	Rs. 300	1,000
B	Rs. 400	Rs. 60,000	Rs. 300	1,300
C	Rs. 400	Rs. 80,000	Rs. 300	1,600
D	Rs. 400	Rs. 80,000	Rs. 450	1,900

- Identify whether each change represents a movement along the demand curve or a shift of the demand curve.
- Identify the factor responsible for each change.
- Explain the economic reasoning behind your answers.
- In which situation would you expect the demand curve itself to move to the right?

Question 2

Consider the following information about the market for tomatoes.

Situation	Price per kg	Fertilizer Cost	Number of Producers	Quantity Supplied
A	Rs. 150	Rs. 80	500	2,000
B	Rs. 200	Rs. 80	500	2,600
C	Rs. 200	Rs. 110	500	2,200
D	Rs. 200	Rs. 110	700	2,700

- Which change represents an increase in quantity supplied?
- Which changes represent a shift in the supply curve?
- Explain the difference between a change in quantity supplied and a change in supply.
- Which situation would cause the supply curve to shift to the left?

Question 3

The following table represents the market for a particular product.

Price	Quantity Demanded	Quantity Supplied
Rs. 100	900	300
Rs. 150	750	450
Rs. 200	600	600
Rs. 250	450	750
Rs. 300	300	900

Identify the equilibrium price and equilibrium quantity.

Question 4

The following table shows initial and changed market conditions for electric vehicles.

Market Condition	Demand	Supply	Expected Price	Expected Quantity
Initial	Normal	Normal	—	—
A	Increased	Unchanged	?	?
B	Unchanged	Increased	?	?
C	Increased	Increased	?	?
D	Decreased	Decreased	?	?

- State whether equilibrium price increases, decreases, or is uncertain.
- State whether equilibrium quantity increases, decreases, or is uncertain.
- Explain why the outcome differs when demand and supply change simultaneously.
- For which case is the effect on equilibrium price most difficult to determine without additional information?

Question 5

Consider the market for airline tickets.

Event	Demand	Supply
A major holiday increases people's desire to travel	↑	—
Jet fuel prices increase substantially	—	↓
Household incomes rise and air travel is a normal good	↑	—
A new fuel-efficient aircraft technology is introduced	—	↑
A recession reduces household incomes	↓	—
Several airlines leave the market	—	↓

- Identify whether demand or supply changes.
- State the direction of the shift.
- Predict the effect on equilibrium price.
- Predict the effect on equilibrium quantity.
- Select any two events and explain your answer using a properly labelled diagram.

Question 6

The following observations are recorded in the market for wheat.

Period	Wheat Price	Quantity Sold	Observation
I	Rs. 100	10,000 tons	Normal market conditions
II	Rs. 130	12,000 tons	Higher market price
III	Rs. 130	9,000 tons	Production costs increased
IV	Rs. 110	11,000 tons	Favorable weather
V	Rs. 150	8,000 tons	Consumer demand weakened

- Identify which observations are most consistent with a movement along the demand or supply curve.
- Identify which observations suggest a shift in demand or supply.
- Explain why a higher price does not necessarily mean that demand has increased.
- Explain why a lower price does not necessarily mean that supply has increased.

Question 7

The following table describes a market before and after a major change in consumer preferences.

Price	Initial Quantity Demanded	Initial Quantity Supplied	New Quantity Demanded	New Quantity Supplied
Rs. 50	1,200	600	1,500	600
Rs. 75	1,050	750	1,350	750
Rs. 100	900	900	1,200	900
Rs. 125	750	1,050	1,050	1,050
Rs. 150	600	1,200	900	1,200

- Identify the initial equilibrium.
- Identify the new equilibrium after the change in consumer preferences.
- What happened to equilibrium price and quantity?
- What does the table suggest about the direction of the demand shift?
- Explain how the market would adjust from the initial equilibrium to the new equilibrium.

Question 8

A government is studying the market for locally produced wheat. The following developments occur simultaneously.

Development	Likely Effect
Consumer incomes increase	Higher demand
Fertilizer prices increase	Higher production costs
New farming technology is introduced	Lower production costs
Population increases	Higher demand
Several small farmers exit the market	Lower supply

- Classify each development as a demand-side or supply-side factor.
- Identify whether each factor shifts the relevant curve rightward or leftward.
- If demand and supply both increase, what can be said with certainty about equilibrium quantity? What happens to equilibrium price?
- If demand increases while supply decreases, what happens to equilibrium price? What happens to equilibrium quantity?
- Explain why simultaneous shifts in demand and supply require more careful analysis than a single shift.
- Draw two separate diagrams showing the cases in parts (c) and (d).